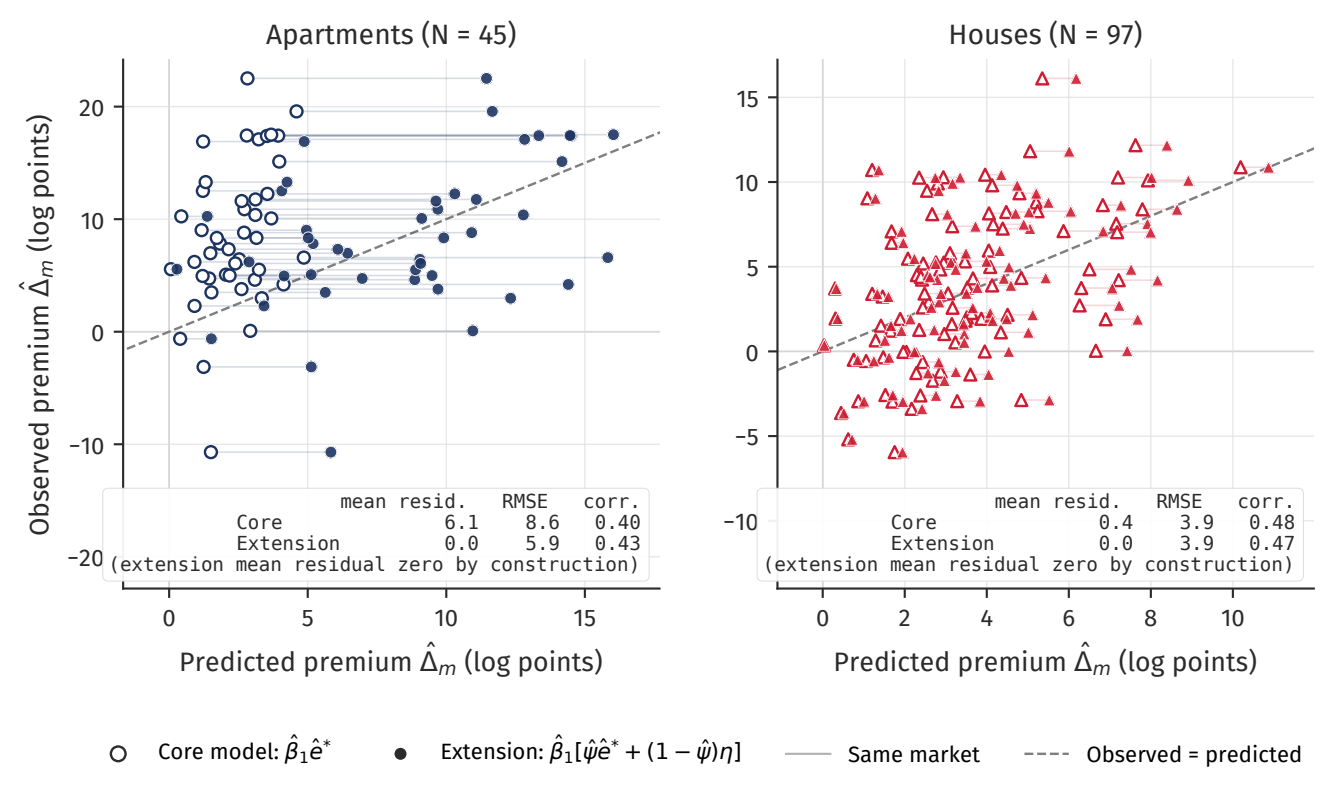
Apartments (N = 45)
Houses (N = 97)
Observed premium $\hat{\Delta}_m$ (log points)
Predicted premium $\hat{\Delta}_m$ (log points)
mean resid. RMSE corr.
Core 6.1 8.6 0.40
Extension 0.0 5.9 0.43
(extension mean residual zero by construction)
mean resid. RMSE corr.
Core 0.4 3.9 0.48
Extension 0.0 3.9 0.47
(extension mean residual zero by construction)
Core model: $\hat{\beta}_1\hat{e}^*$
Extension: $\hat{\beta}_1[\hat{\psi}\hat{e}^* + (1-\hat{\psi})\eta]$
Same market
Observed = predicted